

# Rigetti Computing, Inc.

RGTI NASDAQ

|      |                 |                             |                                    |                       |
|------|-----------------|-----------------------------|------------------------------------|-----------------------|
| Hold | \$18.75 ▼ 3.99% | 12M Price Target<br>\$24.00 | 52-Week Range<br>\$10.80 – \$58.15 | Market Cap<br>\$6.23B |
|------|-----------------|-----------------------------|------------------------------------|-----------------------|

## RGTI: Quantum Reality Check After \$857M Dilution Warning

### WHAT HAPPENED

- The big one: collectively, the quantum names (RGTI, IONQ, QBTS) flagged \$857M in potential new stock issuance — that's "dilution," meaning they want to sell more shares to raise cash, which shrinks the slice of the pie each existing shareholder owns. Stock down ~12% over three sessions on that news.
- Insider selling is piling on — Director Ray Johnson dumped ~\$4.3M in June and the CEO sold \$1.5M on June 1. When insiders sell into strength, it tells you THEY think the stock got ahead of the fundamentals.

### WHY IT MATTERS

Here's the tension: Trump signed executive orders on June 23 boosting federal quantum adoption with a 2028 target — that's a genuine tailwind that should benefit RGTI for years. BUT the company is using that good news as cover to raise massive amounts of capital, which is what's actually moving the stock today. This is the classic quantum playbook: policy win → stock pops → company issues shares → stock fades. The fact that options flow is still bullish (put/call of 0.26 means traders are buying 4x more calls than puts) tells me retail and momentum traders are buying the dip, but the insider selling says smart money is taking the other side. Translation: the long-term story is intact, the short-term setup is messy.

### POLICY & POLITICAL WATCH

The June 23 Trump executive orders on quantum are the real deal — they direct federal agencies to accelerate quantum adoption with a 2028 deployment target, which is RGTI's addressable market. There's also bipartisan momentum behind reauthorizing the National Quantum Initiative Act (originally 2018), with expanded funding being debated — if it passes with the rumored \$2.5B+ over five years, RGTI is a direct beneficiary alongside IonQ. Watch for export controls on quantum tech to China tightening further — that's a double-edged sword: it protects RGTI from competition but could limit their commercial customer base abroad.

### IS IT EXPENSIVE?

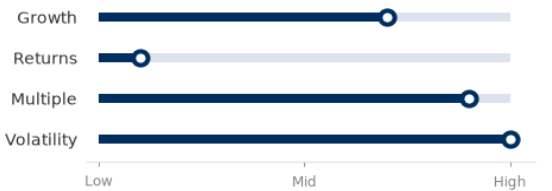
RGTI trades at roughly \$6.2B market cap on ~\$18M of expected revenue this year — that's investors paying \$340+ for every \$1 of revenue, which is absurd by any normal standard. The only way to justify this is if you believe quantum becomes the next AI and RGTI captures meaningful share by 2030. At 17% of its 52-week range (\$10.80–\$58.15), it's no longer "priced for perfection" like it was at \$58, but it's still a bet on a future that's 3-5 years away from generating real cash flow.

### WHAT COULD GO WRONG

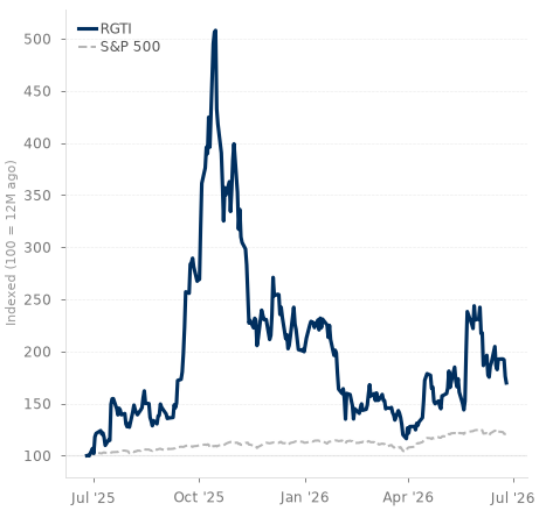
### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$18.75  |
| 12M Price Target    | \$24.00  |
| Upside / (Downside) | +28.0%   |
| Market Cap          | \$6.23B  |
| FY2026E Revenue     | \$18M    |
| FY2027E Revenue     | \$32M    |
| FY2026E EPS         | (\$0.35) |
| FY2027E EPS         | (\$0.28) |
| Fwd P/E             | N/M      |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$23.00   | \$19.00   | \$15.00   |
| 6 Months  | \$30.00   | \$22.00   | \$12.00   |
| 1 Year    | \$40.00   | \$24.00   | \$10.00   |
| 2 Years   | \$60.00   | \$32.00   | \$8.00    |
| 5 Years   | \$120.00  | \$50.00   | \$5.00    |
| 10 Years  | \$300.00  | \$80.00   | \$3.00    |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Industrials (+2.29%) and Healthcare (+2.13%) are leading — money's rotating into "real economy" names with actual earnings, partly because tariff revenue is funding infrastructure spend.

**COOLING OFF:** Speculative tech and quantum specifically — the dilution news is a reminder that pre-revenue stories get punished when capital raises start.

**ROTATION WATCH:** Money is moving FROM story stocks (quantum, pre-revenue AI) INTO profitable industrials and healthcare. That's a "risk-off within tech" signal, not full risk-off.

**RELATED PLAY:** If you want quantum exposure with less binary risk, look at the hyperscalers (MSFT, GOOGL, IBM) who have quantum divisions but earnings to cushion the wait — or defense primes like LMT and RTX that benefit from any classified quantum program spending.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Held up better on June 23 because their annealing tech was specifically name-checked in commercial use cases — first-mover narrative
- IBM (IBM): The "boring" quantum play — gets the upside without the dilution risk because they have \$60B in revenue cushioning the bet

**RGTI CONTEXT:** RGTI is lagging the quantum peer group this week — down more than IONQ and QBTS on the same dilution warning, which suggests the market sees RGTI as the most capital-needy of the three. That's not great signaling and means any rally needs broader sector lift to work.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

**CONVICTION:** 5/10 — I like the long-term setup with federal policy tailwinds, but the near-term dilution overhang and insider selling keep me from pounding the table.

**POSITION SIZE:** 1-2% max, treat this as a lottery ticket sleeve — the stock can go to \$50 or \$8 and both are plausible

**ENTRY POINTS:** I'd wait for the actual share issuance to hit (it'll knock the stock to \$14-16), then leg in — buying before the dilution announcement is just paying retail

**TIME HORIZON:** 18-36 months — you need to see real revenue from federal contracts to validate the thesis, and that's a 2027-2028 story

**WHEN TO BAIL:** If they do a capital raise at sub-\$15 (signals desperation), or if Kulkarni (CEO) leaves, or if two consecutive quarters miss revenue badly — any of those, I'm gone

**HEDGING:** Easiest hedge is just sizing it small. If you want more protection, you can buy "puts" — basically insurance that pays off if the stock falls — but they're expensive on quantum names because everyone knows these things are volatile